

Adverse selection

Consider the case of a stallholder selling cheap perfume – his willingness to sell at this price raises suspicions that the perfume may be fake. The problem arises because unlike the seller, the buyer is uninformed about the quality of the perfume. In this situation of 'adverse selection', the market tends to push out sound products in favour of bad ones.

To take another example, the condition of a second-hand car may be unknown to the buyer, but owners of duds have more incentive to sell than owners of sound vehicles and so buyers expect that the average quality of cars on offer is low. As a result, they are only willing to pay low prices, and because owners of sound cars can't get decent prices, fewer of these are offered until eventually only duds are left. Adverse selection also arises in health insurance where people's health is unknown to the insurer. Those most keen to buy insurance may be the unhealthy ones that the insurer least wants to insure.

THE DOWNWARD SPIRAL OF
ADVERSE SELECTION

